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Greater China Technology Hardware | Asia Pacific

# CCL – Doosan announces capacity expansion in Korea and China

**What's new?** According to [Business Korea](#), Doosan (000150.KS, not covered) announced a KRW970B CCL capacity expansion on Sep 17:

- KRW420B in Korea to add optical module CCL lines, and
- KRW550B in China to build a new plant for AI accelerator and network switch CCL.

Spending is phased through 2028, with the new lines coming online sequentially from 2H28.

**Our thoughts:** Our checks suggest this investment could add ~2,000K sheets per month of CCL capacity at Doosan, equivalent to ~2% of global CCL capacity in 2028, on our estimates. We view the investment as further evidence of robust demand for high-end CCL and do not believe it undermines our thesis of continued high-end CCL scarcity (see our [CCL initiation report](#)). As such, we see a positive read-across for EMC, TUC, and Shengyi. We remain OW on EMC and TUC, while maintaining our EW rating on Shengyi given a less compelling valuation.

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| GREATER CHINA TECHNOLOGY HARDWARE |         |
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| Industry View                     | In-Line |

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## Valuation Methodology and Risks

### Elite Material Co. (2383.TW)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 9.3% (beta of 1.0, equity premium of 8.7% and risk-free rate of 1%), medium-term growth rate of 12%, and terminal growth rate of 3%.

#### Risks to Upside

- Stronger AI demand
- Share gains
- Faster-than-expected material upgrades
- Slower-than-expected CPO adoption

#### Risks to Downside

- Weaker AI demand
- Share loss
- Slower-than-expected material upgrades
- Faster-than-expected CPO adoption

### Shengyi Technology Co Ltd. (600183.SS)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 7.3% (beta of 1.2, equity premium of 5% and risk-free rate of 1.3%), 10% medium-term growth rate and 3% terminal growth rate.

#### Risks to Upside

- Accelerated demand for 5G and data center CCL/PCB.
- Further share gains for 5G and data center CCL/PCB.
- Meaningful penetration into IC substrate CCL, benefiting from China's semiconductor localization.

#### Risks to Downside

- Rising competition for 5G and data center CCL/PCB.
- Delay in 5G network deployment.
- Escalating US-China trade tensions.

### Taiwan Union Technology Corporation (6274.TWO)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 9.3% (beta of 1.0, equity premium of 8.7% and risk-free rate of 1%), medium-term growth rate of 11%, and terminal growth rate of 3%.

#### Risks to Upside

- Stronger AI demand

- Share gains
- Faster-than-expected material upgrades
- Slower-than-expected CPO adoption

**Risks to Downside**

- Weaker AI demand
- Share loss
- Slower-than-expected material upgrades
- Faster-than-expected CPO adoption

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(as of August 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1555              | 42%        | 450                              | 48%            | 29%                  | 767                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 395                              | 42%            | 25%                  | 770                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 559               | 15%        | 93                               | 10%            | 17%                  | 216                                               | 12%                   |
| Total                 | 3,694             |            | 939                              |                |                      | 1754                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Elite Material Co. (2383.TW) - As of 09/20/26 GMT in TWD  
Industry : Greater China Technology Hardware



Stock Rating History: 9/14/26 : 0/I

Price Target History: 9/14/26 : 8400

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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Shengyi Technology Co Ltd. (600183.SS) - As of 09/20/26 GMT in CNY  
Industry : Greater China Technology Hardware



Stock Rating History: 9/1/21 : 0/I; 5/26/22 : E/I

Price Target History: 10/26/20 : 34.5; 5/26/22 : 18.5; 11/7/22 : 16; 4/1/23 : 17; 10/31/23 : 17.5; 4/30/24 : 19; 4/23/25 : 22; 3/20/26 : 70; 4/20/26 : 74; 9/14/26 : 170

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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Taiwan Union Technology Corporation (6274.TWD) - As of 09/20/26 GMT in TWD  
Industry : Greater China Technology Hardware



Stock Rating History: 9/14/26 : 0/I

Price Target History: 9/14/26 : 2700

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: Greater China Technology Hardware

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (09/18/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Andy Meng, CFA</b>                                |                |                     |
| AAC Technologies Holdings (2018.HK)                  | O (01/29/2024) | HK\$40.62           |
| Accelink Technologies Co. Ltd. (002281.SZ)           | U (05/12/2022) | Rmb195.40           |
| BYD Electronics (0285.HK)                            | O (04/28/2023) | HK\$23.78           |
| China TransInfo Technology Co Ltd (002373.SZ)        | E (07/18/2023) | Rmb7.33             |
| Dahua Technology Co. Ltd. (002236.SZ)                | E (12/12/2024) | Rmb15.74            |
| Eoptolink Technology Inc Ltd (300502.SZ)             | O (02/27/2026) | Rmb445.00           |
| Genius Electronic Optical Co. Ltd. (3406.TW)         | U (09/10/2026) | NT\$972.00          |
| GoerTek Inc (002241.SZ)                              | E (08/14/2026) | Rmb23.33            |
| Gosuncn Technology Group Co Ltd (300098.SZ)          | U (11/07/2022) | Rmb4.33             |
| HIKVision Digital Technology (002415.SZ)             | E (12/12/2024) | Rmb32.94            |
| Largan Precision (3008.TW)                           | E (09/10/2026) | NT\$6,430.00        |
| LianChuang Electronic Technology Co Ltd (002036.SZ)  | U (06/12/2024) | Rmb6.32             |
| Lingyi Itech Guangdong Co (002600.SZ)                | U (04/23/2025) | Rmb12.58            |
| Lingyi Itech Guangdong Co (1688.HK)                  | O (08/14/2026) | HK\$6.10            |
| Luxshare Precision Industry Co., Ltd. (2475.HK)      | O (08/14/2026) | HK\$58.80           |
| Luxshare Precision Industry Co., Ltd. (002475.SZ)    | O (10/24/2016) | Rmb54.10            |
| OFILM Group Co Ltd (002456.SZ)                       | U (06/12/2024) | Rmb7.02             |
| Q Technology (Group) Company Ltd (1478.HK)           | U (03/23/2026) | HK\$5.43            |
| Quectel Wireless Solutions Co Ltd (603236.SS)        | E (10/09/2024) | Rmb72.54            |
| Shanghai Conant Optical Co Ltd (2276.HK)             | O (04/10/2026) | HK\$40.58           |
| Shenzhen Transsion Holdings Co Ltd (688036.SS)       | E (03/23/2026) | Rmb52.77            |
| Sunny Optical (2382.HK)                              | E (03/23/2026) | HK\$67.05           |
| Suzhou TFC Optical Communication Co Ltd. (300394.SZ) | E (11/06/2025) | Rmb284.66           |
| Wingtech Technology Co Ltd (600745.SS)               | U (05/18/2026) | Rmb16.74            |
| Xiaomi Corp (1810.HK)                                | O (04/14/2021) | HK\$26.40           |
| Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)  | U (10/13/2021) | Rmb454.99           |

|                                                   |                |               |
|---------------------------------------------------|----------------|---------------|
| Yangtze Optical Fibre and Cable JSC Ltd (6869.HK) | O (07/15/2026) | HK\$183.10    |
| Yongxin Optics Co Ltd (603297.SS)                 | E (11/15/2022) | Rmb113.01     |
| Zhejiang Crystal-Optech Co Ltd (002273.SZ)        | O (11/15/2022) | Rmb25.47      |
| Zhongji Innolight Co Ltd (300308.SZ)              | O (09/07/2026) | Rmb926.43     |
| Zhongji Innolight Co Ltd (3308.HK)                | O (09/07/2026) | HK\$1,205.00  |
| ZTE Corporation (0763.HK)                         | O (06/04/2026) | HK\$22.84     |
| ZTE Corporation (000063.SZ)                       | E (06/04/2026) | Rmb32.44      |
| <b>Derrick Yang</b>                               |                |               |
| Accton Technology Corporation (2345.TW)           | O (06/06/2024) | NT\$1,855.00  |
| Advantech (2395.TW)                               | O (01/20/2021) | NT\$690.00    |
| AirTAC International (1590.TW)                    | O (04/16/2025) | NT\$1,220.00  |
| Asia Vital Components Co. Ltd. (3017.TW)          | O (07/30/2024) | NT\$3,430.00  |
| AU Optronics (2409.TW)                            | E (02/10/2026) | NT\$30.35     |
| Auras Technology Co Ltd (3324.TWO)                | E (05/04/2023) | NT\$1,480.00  |
| Bizlink (3665.TW)                                 | O (03/10/2025) | NT\$2,210.00  |
| BOE Technology (000725.SZ)                        | O (09/06/2019) | Rmb5.92       |
| Chenbro (8210.TW)                                 | O (07/23/2025) | NT\$902.00    |
| Chroma Ate Inc. (2360.TW)                         | O (10/05/2021) | NT\$2,290.00  |
| Delta Electronics Inc. (2308.TW)                  | O (07/13/2017) | NT\$1,735.00  |
| E Ink Holdings Inc. (8069.TWO)                    | E (08/10/2026) | NT\$146.50    |
| Ennostar Inc (3714.TW)                            | U (09/23/2022) | NT\$67.40     |
| Fositek Corp (6805.TW)                            | O (06/25/2025) | NT\$2,295.00  |
| Hiwin Technologies Corp. (2049.TW)                | O (03/30/2026) | NT\$334.50    |
| Innolux (3481.TW)                                 | E (04/07/2025) | NT\$48.25     |
| King Slide Works Co. Ltd. (2059.TW)               | O (11/08/2023) | NT\$12,495.00 |
| Lens Technology (300433.SZ)                       | E (07/22/2020) | Rmb33.48      |
| Lite-On Technology (2301.TW)                      | E (01/15/2025) | NT\$282.00    |
| TCL Corp. (000100.SZ)                             | E (04/07/2025) | Rmb4.99       |
| Tianma Microelectronics (000050.SZ)               | U (01/24/2018) | Rmb6.61       |
| Wuhan Jingce Electronic Group Co Ltd (300567.SZ)  | E (11/26/2021) | Rmb219.15     |
| <b>Howard Kao</b>                                 |                |               |
| Acer Inc. (2353.TW)                               | U (04/23/2025) | NT\$31.95     |
| Asustek Computer Inc. (2357.TW)                   | U (11/16/2025) | NT\$960.00    |
| Catcher Technology (2474.TW)                      | U (11/17/2025) | NT\$209.50    |
| Compal Electronics (2324.TW)                      | U (04/23/2025) | NT\$37.70     |
| Elite Material Co. (2383.TW)                      | O (09/14/2026) | NT\$4,890.00  |
| FIT Hon Teng Ltd (6088.HK)                        | O (11/03/2025) | HK\$5.42      |
| Foxconn Industrial Internet Co. Ltd. (601138.SS)  | O (07/10/2019) | Rmb62.71      |
| Giga-Byte Technology Co. Ltd. (2376.TW)           | E (11/16/2025) | NT\$356.00    |
| Gold Circuit Electronics Ltd. (2368.TW)           | O (10/06/2022) | NT\$1,020.00  |
| Hon Hai Precision (2317.TW)                       | O (03/15/2024) | NT\$250.50    |
| Inspur Electronic Information (000977.SZ)         | E (08/28/2023) | Rmb71.88      |
| Kingboard Laminates Holdings Ltd. (1888.HK)       | O (09/14/2026) | HK\$47.10     |
| LandMark Optoelectronics Corporation (3081.TWO)   | E (03/26/2026) | NT\$2,880.00  |
| Lenovo (0992.HK)                                  | O (07/10/2026) | HK\$37.58     |
| Lotes Co. Ltd. (3533.TW)                          | E (05/12/2025) | NT\$1,585.00  |
| Nan Ya PCB (8046.TW)                              | O (02/23/2026) | NT\$1,100.00  |
| Pegatron Corporation (4938.TW)                    | E (03/25/2026) | NT\$90.30     |
| Quanta Computer Inc. (2382.TW)                    | O (05/01/2023) | NT\$343.00    |
| Shengyi Technology Co Ltd. (600183.SS)            | E (05/26/2022) | Rmb143.93     |
| Shennan Circuits Co Ltd (002916.SZ)               | E (08/24/2023) | Rmb384.50     |
| Unimicron (3037.TW)                               | O (02/23/2026) | NT\$981.00    |
| Visual Photonics Epitaxy Co Ltd (2455.TW)         | E (09/11/2023) | NT\$556.00    |
| Wistron Corporation (3231.TW)                     | O (07/12/2023) | NT\$186.50    |
| Wiwynn Corp (6669.TW)                             | O (11/10/2025) | NT\$2,140.00  |

|                                                |                |              |
|------------------------------------------------|----------------|--------------|
| Yageo Corp. (2327.TW)                          | O (10/28/2025) | NT\$550.00   |
| Zhen Ding (4958.TW)                            | ++             | NT\$473.00   |
| Irene Yen                                      |                |              |
| Co-Tech Development Corp. (8358.TWO)           | O (09/14/2026) | NT\$499.50   |
| Taiwan Union Technology Corporation (6274.TWO) | O (09/14/2026) | NT\$1,370.00 |

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